



Financial institutions

Around the globe, money moves between banks, businesses, governments, organizations, and individuals, crossing time zones, continents, and cultures. At the heart of the global financial systems are the banks, hedge funds, pension funds, and insurance companies that hold and invest the world's money. Without the liquidity that banks provide, organizations and individuals would find it hard to borrow or save money, invest in existing businesses, or start up new businesses.

Services and fees

Financial institutions make money primarily by lending out cash at a higher interest rate than the one they are paying to their depositors. They also make money by investing the cash entrusted to them by customers, and by buying and selling assets for clients and charging a fee for this service. They lose money when debts are not repaid, or only partially repaid, or in the event that they make the wrong investment decision.

